

Anyone who stops learning is old, whether at twenty or eighty.

—Henry Ford

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Eco electric car touch multimedia system with charging battery status on the screen

panies (NBFCs) and banks but the number of vehicles that are getting financed is quite low at present. However, we expect that to change now given the rise in demand for EVs.

Manufacturing is another aspect, which is still not robust enough. Battery cells, for example, are still not manufactured in the country. With the lack of indigenous components, there is lower value addition to these vehicles. But this can also be seen as a blessing in disguise.

### The biggest opportunity

Apart from Central government's policies, the majority of state government policies are more linked towards manufacturing incentives. But building vehicles from scratch can be an expensive proposition given the investment and supply chain factors that need to fall in place. **EV component manufacturing, on the other hand, is a huge business opportunity that can be tapped into.**

In fact, there are numerous opportunities which exist in the EV space. Batteries are one such aspect that can offer the most innovative opportunities. Battery assembly or cell manufacturing can be impressive business propositions if done right. Battery assembly, in particular, is not only a lucrative business but also a much simpler one as compared to complete battery manufacturing, which needs expertise.

But that too is witnessing a change. The recently announced production linked incentive (PLI) scheme for the manufacture of ACC battery cells is a huge support for the industry. It brings about infinite opportunities for the interested participants to explore the electric battery market, which is inevitably going to become a necessity by the end of this decade.

Going by the demand and supply parameters, we believe the battery price is going to stabilise around \$110 per kWh, after which there is going to be a technology shift that, in all probability, right now looks to be moving towards solid-state batteries. This presents electric batteries a major opportunity to be tapped into given how its importance is going to explode in the next few years.

There is also, of course, a need for controllers, chargers, motors, drivetrains, plastics, mechanicals, and other components that can be manufactured in India for the EVs.

It is clear that the era of EVs has begun, and the ICE vehicles will now have to take a bow and leave the stage. The EV market in India is still very nascent, but EVs are on the way, which means it is the right time to act, innovate, and to grow. **EFY**

*The article is based on the talk 'Sustainable Mobility Solutions - Opportunities & Challenges' by Naveen Munjal, Managing Director, Hero Electric, which was presented at MOVES 2021, Tech World Congress 2021.*